

The Consumer Financial Protection Bureau

In July 2010, Congress passed and President Obama signed the Dodd-Frank Wall Street Reform and Consumer Protection Act. The act created the Consumer Financial Protection Bureau (CFPB). The CFPB consolidates most federal consumer financial protection authority in one place. The consumer bureau is focused on one goal: watching out for American consumers in the consumer financial products and services market.

The bureau will operate under the Federal Reserve and its purpose, according to the agency's website, is to:

- Conduct rule-making, supervision, and enforcement for federal consumer financial protection laws
- Restrict unfair, deceptive, or abusive acts or practices
- Create a center to take consumer complaints
- Promote financial education
- Research consumer behavior
- Monitor financial markets for new risks to consumers
- Enforce laws that outlaw discrimination and other unfair treatment in consumer transactions.

The bureau's website (www.consumerfinance.gov) specifically states "The CFPB will also be a cop on the beat to patrol the consumer financial services markets." In addition, it will also have authority over all financial institutions in the country including mortgage-, auto-, and credit card-lenders, and also some of the grayer participants in the world of finance, such as payday loan providers, debt collectors, and foreclosure relief services.

Congress specifically charged the CFPB with putting an end to no-income verification mortgages, eliminating prepayment penalties, ending lending employee bonuses for steering consumers into high cost loans, and implementing simpler disclosures for financial transactions.

As is the case with nearly all legislative actions, there are exceptions to who's covered under the CFPB's jurisdiction. Those entities excluded from the bureau's oversight include: